

**SUBSTITUTE FOR
HOUSE BILL NO. 6126**

A bill to amend 2019 PA 149, entitled
"Lawful sports betting act,"
by amending sections 15 and 16 (MCL 432.415 and 432.416), section
16 as amended by 2024 PA 141.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 15. The tax imposed under section 14(1) must be allocated
2 as follows:

3 (a) Thirty percent to the city in which the sports betting
4 operator's casino is located, for use in connection with the
5 following:

6 (i) The hiring, training, and deployment of street patrol
7 officers in that city.

8 (ii) Neighborhood development programs designed to create jobs



1 in that city with a focus on blighted neighborhoods.

2 (iii) Public safety programs such as emergency medical services,
3 fire department programs, and street lighting in that city.

4 (iv) Anti-gang and youth development programs in that city.

5 (v) Other programs that are designed to contribute to the
6 improvement of the quality of life in that city.

7 (vi) Relief to the taxpayers of that city from 1 or more taxes
8 or fees imposed by that city.

9 (vii) The costs of capital improvements in that city.

10 (viii) Road **construction**, repairs, and improvements in that
11 city.

12 (b) Sixty-five percent to this state to be deposited into the
13 fund.

14 (c) Five percent to the Michigan agriculture equine industry
15 development fund created under section 20 of the horse racing law
16 of 1995, 1995 PA 279, MCL 431.320. However, if the 5% allocated
17 under this subdivision to the Michigan agriculture equine industry
18 development fund created under section 20 of the horse racing law
19 of 1995, 1995 PA 279, MCL 431.320, exceeds \$3,000,000.00 in a
20 fiscal year, the amount in excess of \$3,000,000.00 must be
21 allocated and deposited in the fund created under section 16.

22 Sec. 16. (1) The internet sports betting fund is created in
23 the state treasury.

24 (2) The state treasurer may receive money or other assets
25 required to be paid into the fund under this act or from any other
26 source for deposit into the fund. The state treasurer shall direct
27 the investment of the fund. The state treasurer shall credit to the
28 fund interest and earnings from fund investments.

29 (3) The board is the administrator of the fund for auditing



1 purposes.

2 (4) The board shall expend money from the fund, on
3 appropriation, for all of the following:

4 (a) The board's costs of regulating and enforcing internet
5 sports betting under this act.

6 (b) After the expenditure under subdivision (a), each year,
7 \$1,000,000.00 to the compulsive gaming prevention fund created in
8 section 3 of the compulsive gaming prevention act, 1997 PA 70, MCL
9 432.253.

10 (c) After the expenditures under subdivisions (a) and (b),
11 each **fiscal** year, ~~\$2,000,000.00 to an amount, not to exceed~~
12 **\$7,000,000.00, to the Christopher R. Slezak first responder**
13 **presumed coverage fund created in section 405 of the worker's**
14 **disability compensation act of 1969, 1969 PA 317, MCL 418.405, to**
15 **pay 50% of the costs incurred in the payment of approved claims and**
16 **the administration of** the Christopher R. Slezak first responder
17 presumed coverage fund ~~created in~~ **under** section 405 of the worker's
18 disability compensation act of 1969, 1969 PA 317, MCL 418.405.

19 (d) **After the expenditures under subdivisions (a), (b), and**
20 **(c), each year, \$1,000,000.00 to the Michigan strategic fund**
21 **created in section 5 of the Michigan strategic fund act, 1984 PA**
22 **270, MCL 125.2005, for distribution to federally recognized tribal**
23 **governments in Michigan for essential government services. The**
24 **funds must be distributed according to an allocation plan**
25 **recommended by the Inter-Tribal Council of Michigan.**

26 (e) ~~(d)~~ All money remaining in the fund after the expenditures
27 under subdivisions (a) to ~~(e)~~ **(d)** must be deposited into the state
28 school aid fund established under section 11 of article IX of the
29 state constitution of 1963.



1 (5) As used in this section, "federally recognized tribal
2 government" means any Indian tribe, band, nation, or other
3 organized group or community of Indians that is recognized as
4 eligible by the United States Secretary of the Interior for the
5 special programs and services provided by the United States to
6 Indians because of their status as Indians, and is recognized as
7 possessing powers of self-government.